THEMATIC STRATEGY · INTERNAL / BUY-SIDE ONLY

After the Capex Supercycle: Five Themes on the Cusp of Mass Adoption

Structured for position initiation — not commentary.

01 —

CYCLE FRAME

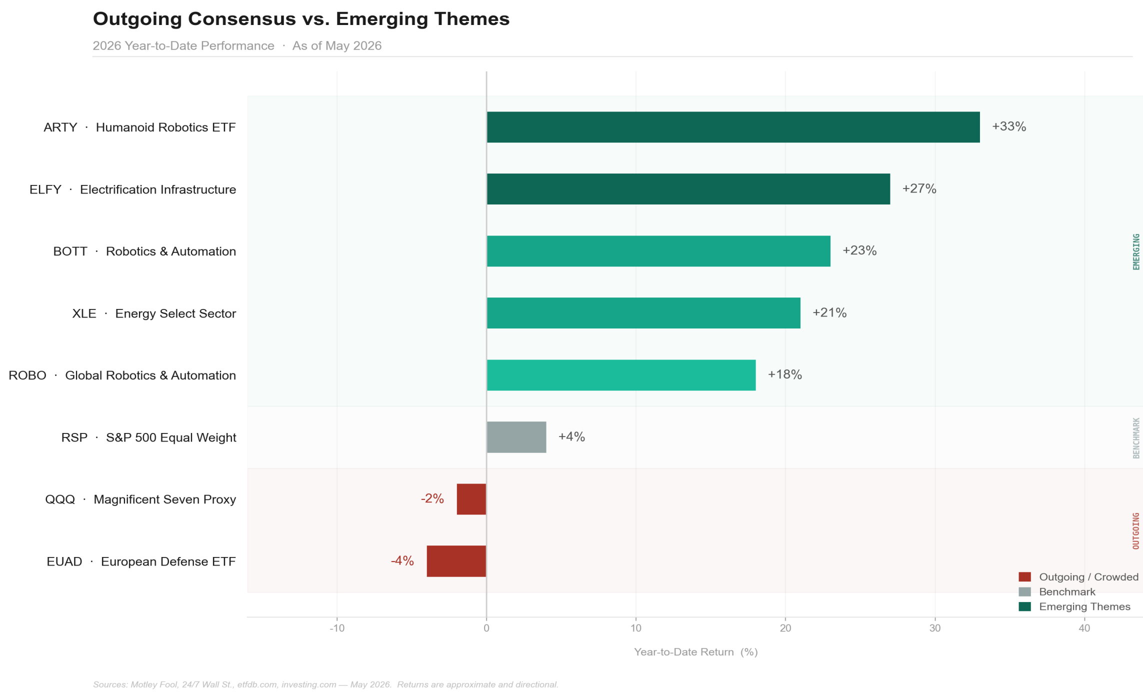
The Magnificent Seven entered 2026 carrying a combined market cap of ~$22 trillion and ~34% of the S&P; 500's weight. They are now collectively underperforming the equal-weight index for the first time since 2022. **MSFT**, **AAPL**, **GOOGL**, **AMZN**, **META**, **NVDA**, **TSLA** — every one of them trails the S&P; 500 YTD (Motley Fool, May 2026).

The crowding signals are specific and measurable: the Mag 7 basket trades at ~29x forward earnings vs. the S&P; 500 at ~22x and the Nasdaq 100 at ~25x (marketshost.com, 2026). Sell-side AI coverage proliferated through 2023–2025 to the point where "buy AI infrastructure" is the consensus institutional recommendation. The DeepSeek shock in early 2026 was the first serious public challenge to the $700B hyperscaler capex thesis — questioning whether returns will scale to match spend. Hyperscaler capex-to-revenue ratios now range from 34% (**AMZN**) to 75% (**META**).

MACRO BACKDROP: Sticky inflation (core PCE ended 2025 at 3%, above the Fed's 2% target), a weakening dollar, and a geopolitical environment that has permanently repriced defense budgets are pulling capital toward hard-asset, real-economy themes. Energy (**XLE**) is +21% YTD. The equal-weight S&P; is outperforming the cap-weight index. The regime has shifted.

Two rotation paths are simultaneously live:

- **MONETIZATION PIVOT** — what does $690B in annual AI infrastructure spending actually produce in real-world revenue? The answer is beginning to emerge in physical AI, autonomous systems, and the power infrastructure required to run it all.
- **REGIME-SHOCK ROTATION** — sticky inflation, dollar weakness, and geopolitical repricing is pulling capital toward hard-asset, real-economy themes that were priced for nothing.



YTD performance as of May 2026. Returns approximate. Sources: Motley Fool, 24/7 Wall St., etfdb.com, investing.com.

02 —

CANDIDATE THEMES

THEME A: PHYSICAL AI & HUMANOID ROBOTICS

NEXT-LEG

"The software AI supercycle moves into atoms"

THESIS

2026 is the year physical AI crosses from demonstration to deployment. CES 2026 was the first major trade show where robotics showcased systems already operating commercially — not concept units. Two structural shifts are driving the inflection:

Cost. Per-unit production costs for humanoid robots have collapsed from $3 million to under $100,000 over the past decade, with leading manufacturers now approaching $10,000 for commercial-grade applications (Global X ETFs, 2026). This is the cost threshold at which industrial ROI turns positive for most manufacturing use cases.

Scale. Amazon's fleet of over 1 million robots is expected to handle 75% of global deliveries by mid-2026. The market is valued at $2–3B today and projected to reach $40B by 2035 in the base case (Global X ETFs, 2026).

CATALYSTS

- Full-year commercial deployment reports from Amazon, BMW, and Tesla Manufacturing — Q2–Q3 2026 earnings calls
- Unit cost announcements below $10,000 from leading manufacturers — expected H2 2026
- Labor shortage data forcing accelerated corporate adoption decisions — ongoing
- First meaningful humanoid revenue disclosure from a public company — watch FIGURE, Boston Dynamics parent, and **TSLA** FSD-to-Optimus bridge

BENEFICIARIES

TSLA · **FANUY** · **ABB** · **ISRG** · **NVDA** (inference)

POSITIONING Directional estimate: Humanoid robotics is early-consensus in VC (funding up 15x since 2017) but still under-owned in traditional institutional equity portfolios. **ARTY** ETF is +33% YTD, **BOTT** +23%, **ROBO** +18% — the dispersion signals managers are still sorting out which part of the stack to own. This is early-consensus positioning, not crowded.

> **BEAR CASE:** The trade fails if per-unit cost reduction stalls above $50,000, keeping commercial ROI negative for most non-industrial use cases. Any major product recall or workplace safety incident involving autonomous systems triggers regulatory pause and multi-year adoption setback.

THEME B: POWER GRID & ELECTRIFICATION INFRASTRUCTURE

ADJACENT

“The AI capex cycle has a physics constraint: watts”

THESIS

AI data centers are a power-demand machine. Morgan Stanley Research forecasts U.S. data center demand reaching 74 GW by 2028, with a projected shortfall of ~49 GW in available power access (Morgan Stanley, 2026). Wedbush estimates U.S. data center electricity consumption could reach ~470 TWh by 2030, roughly 23% above consensus forecasts.

The critical insight: **this is not a 2030 story — the bottleneck is live now.** The 49 GW shortfall means hyperscalers cannot deploy their capex without solving grid access. This creates multi-year, contracted revenue for grid infrastructure builders — transformers, switchgear, high-voltage cable, and power management software — independent of whether any specific AI model wins.

CATALYSTS

- Utility earnings calls confirming data center co-location contract wins — Q2 2026 earnings season (July 2026)
- DOE grid permitting reform package — H2 2026 legislative calendar
- Hyperscaler disclosures of power access delays limiting deployment — any 2026 earnings call

- PJM / MISO interconnection queue data showing multi-year backlogs (publicly updated quarterly)

BENEFICIARIES

ETN · **EMR** · **GEV** · **PWR** · **NEE** · **ELFY** · **AIPO** · **IVEP**

POSITIONING Directional estimate: This theme is the furthest along on the consensus spectrum — **ELFY** +27.3% YTD suggests early-consensus to mid-consensus positioning. Best risk/reward is in supply-constrained component makers (**ETN**, **EMR**) vs. utilities.

> **BEAR CASE:** The trade fails if grid permitting reform stalls in Congress or if hyperscalers shift AI workloads toward lower-power inference (DeepSeek-style efficiency) faster than capex plans imply, reducing demand-side urgency.

THEME C: LONGEVITY BIOTECH & THE GLP-1 EXTENSION

NEXT-LEG

"The legitimization of healthspan as an investable category"

THESIS

Nothing has done more to legitimize longevity therapeutics than the explosive success of GLP-1 drugs. **LLY** and **NVO** have explicitly embraced the "longevity" framing — pushing well beyond diabetes and obesity into healthspan extension territory (Clarivate, 2025). The GLP-1 market is projected at nearly $100B annually by decade-end (CNBC, Jan 2026).

The non-consensus opportunity is not in **NVO** or **LLY** — those are consensus long positions already — but in the next two layers of the longevity stack:

Layer 1: Oral GLP-1 molecules. Novo's oral semaglutide received FDA approval in December 2025. **LLY**'s orforglipron (first small-molecule GLP-1 for obesity) targets FDA approval in 2026. The addressable market for oral formulations is 10x the injectable market. 39 new GLP-1 drugs are in development from 34 companies (IQVIA, Jan 2026).

Layer 2: Adjacent longevity mechanisms. Senolytics have posted statistically significant Phase 2 results — Unity Biotechnology's UBX1325 met non-inferiority endpoints vs. anti-VEGF through 36 weeks. mTOR inhibitors (rapamycin analogs) entered Phase 2 for healthspan extension. ARPA-H committed up to $30.8M to Cambrian Biopharma's mTORC1 program. The market was $23.2B in 2025 and projects to $58.7B by 2034 at 11% CAGR.

CATALYSTS

- **LLY** orforglipron FDA approval decision — 2026 (PDUFA date pending)
- Unity Biotechnology UBX1325 Phase 3 initiation announcement
- ARPA-H longevity program milestone readouts — H2 2026

- First major pharma acquisition of a pure-play longevity biotech — would reprice the entire category

BENEFICIARIES

LLY · NVO · RVTY · IONS · ARKG

POSITIONING Directional estimate: **LLY** and **NVO** are consensus overweights. The non-consensus alpha is in the senolytics/mTOR space — Altos Labs ($3B raised), Cambrian, and Unity Biotechnology are largely pre-IPO or small-cap and under-represented in institutional equity portfolios.

> **BEAR CASE:** The trade fails if a major GLP-1 adverse event study (cardiovascular or oncological) triggers an FDA class review, creating a halo-negative effect across all longevity therapeutics. Competition from 34+ companies entering the GLP-1 space compresses pricing power faster than addressable market expands.

THEME D: AUTONOMOUS DEFENSE & DRONE WARFARE

MACRO

“The economics of warfare have permanently changed”

THESIS

The Ukraine conflict produced a decade of battlefield learning in two years. The conclusion is unambiguous: low-cost, mass-produced autonomous systems outperform expensive legacy platforms at scale. NATO allies increased defense spending 20% in 2025, and for the first time all 31 members met the 2% of GDP commitment (Bloomberg, March 2026).

The critical distinction from “defense is crowded”: European traditional defense (**EUAD**, Rheinmetall, BAE Systems) has already re-rated — **EUAD** climbed 75% YTD through mid-2025 before falling 4% in 2026 as crowded positions were trimmed. Citigroup explicitly flagged crowded bullish positioning in European defense being reduced.

The non-crowded opportunity is in U.S. autonomous warfare specifically. The Defense Autonomous Warfare Group (DAWG) budget is projected to increase from $225.9M in FY2026 to up to $54.6B requested in FY2027 — a **24,000%+ increase** (Single source: DefenseScoop / globalsecurity.org). The Trump administration’s spending plan allocates more than $70B for military drones and counter-drone systems — the Pentagon’s largest-ever investment in these technologies (DefenseScoop, April 2026).

CATALYSTS

- NATO July 2026 Ankara Summit formal doctrine shift to autonomous systems — July 2026
- FY2027 Pentagon budget vote confirming DAWG allocation — H2 2026 Congressional calendar
- New contract awards from the $70B drone/counter-drone program — expected Q3–Q4 2026

- European LEAP program procurement (France, Poland, Germany, UK, Italy) — initial contracts H2 2026

BENEFICIARIES

AVAV · KTOS · AXON · LHX · NOC · DFEN

POSITIONING Directional estimate: U.S. drone/autonomous defense stocks are early-consensus vs. European traditional defense which is crowded. **AVAV** and **KTOS** have re-rated since late 2025 but nowhere near European multiples. Autonomous-specific names remain smaller float with limited institutional penetration.

> **BEAR CASE:** The trade fails if the Ukraine conflict reaches a ceasefire or peace agreement that significantly reduces the perceived urgency of autonomous weapons procurement across NATO. A continuing resolution instead of a full FY2027 defense appropriations bill would delay DAWG spending by 12+ months.

THEME E: NUCLEAR ENERGY & SMALL MODULAR REACTORS

MACRO

“24/7 carbon-free power — the only answer AI infrastructure accepts”

THESIS

AI data centers require what renewable energy cannot provide: firm, dispatchable, 24/7 power. Nuclear is the only carbon-free source that meets this specification. The early adopters are already committing: data center and technology companies are the primary buyers of new nuclear capacity, enticed by nuclear’s 24/7 carbon-free output (IEA / Slaughter and May, 2026).

Policy and commercial timelines are converging. In November 2025, the UK government announced Wylfa will host the UK’s first SMRs with Rolls-Royce SMR as preferred technology provider. The U.S. DOE reissued a tender for $900M in federal SMR development funding (March 2025). SMR installations could reach 80 GW by 2040 — 10% of global nuclear capacity (IEA, 2025).

The near-term opportunity is in existing nuclear capacity, not SMR construction. Operating reactors are being repriced by hyperscaler power purchase agreements. SMR construction is a 2028–2032 revenue event for most players.

CATALYSTS

- Additional tech company nuclear PPA announcements (following **MSFT**-Constellation/Three Mile Island model) — ongoing
- NRC SMR design certification decisions — expected 2026–2027
- Rolls-Royce SMR UK financial close and construction commitment — H1 2027 target
- DOE $900M SMR grant award announcements — H2 2026

BENEFICIARIES

CEG · VST · CCJ · NLR · URNM · OKLO

POSITIONING Directional estimate: Institutional involvement in nuclear is growing rapidly but uranium miners carry rich valuations. **CEG** and **VST** are better risk-adjusted expressions than pure miners (**URNM**, **CCJ**) for new positions in 2026.

> **BEAR CASE:** The trade fails if NRC certification processes for SMRs extend by 2+ years (the historical norm). Any major nuclear incident globally triggers a multi-year sentiment reset. Tech company PPA demand could be partially substituted by efficiency improvements in AI inference compute.

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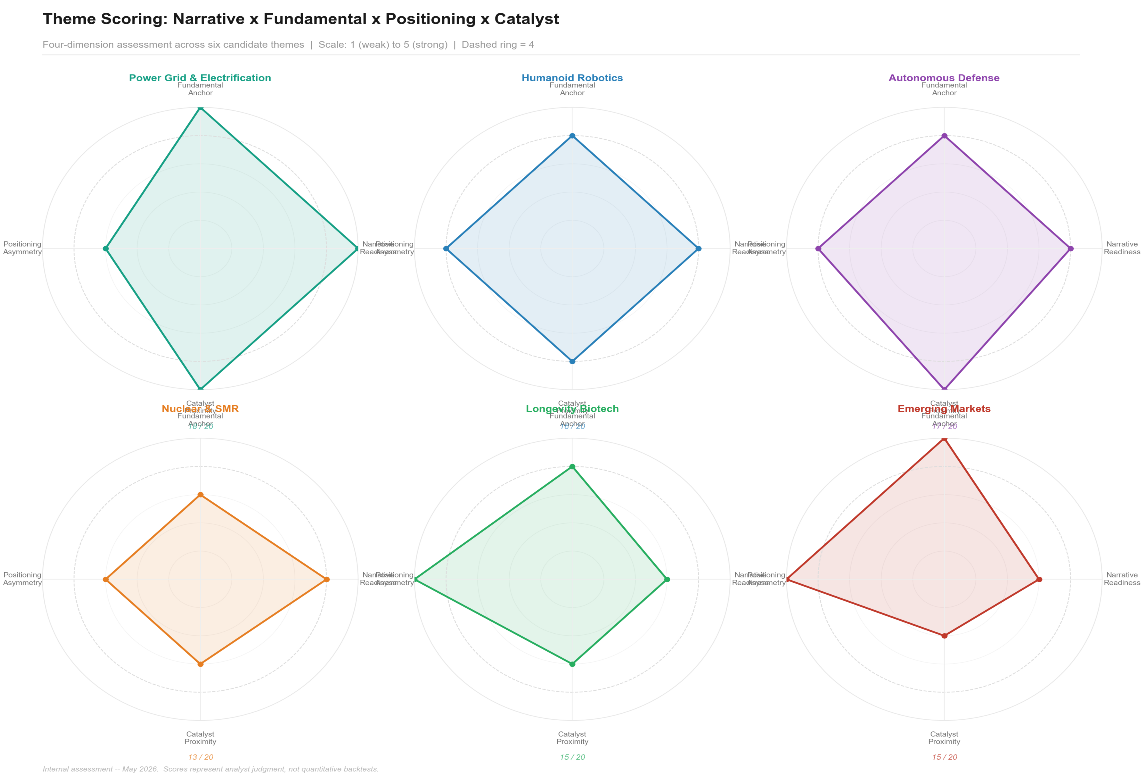
03 —

RANKING

Force-ranked: probability of becoming the next major theme (6–12 months). Criteria: narrative readiness × fundamental support × positioning asymmetry × catalyst proximity. A theme scores high only if it clears all four.

#	THEME	KEY JUSTIFICATION	FAILURE CONDITION
1	Power Grid / Electrification **ETN GEV PWR**	Earnings anchors exist NOW. The 49 GW shortfall is a current bottleneck. Catalysts are quarterly. Positioning is mid-cycle, not crowded.	Hyperscalers shift to low-power inference faster than expected. Grid permitting reform stalls.
2	Physical AI / Humanoid Robotics **TSLA ABB ARTY**	2026 is the commercial inflection year by every measurable signal. Cost below $10K for commercial apps. Amazon 1M+ robot fleet. ARTY +33% YTD — moving, not finished.	Per-unit cost stalls above $50K. Major workplace safety incident triggers regulatory pause.
3	Autonomous Defense / Drones **AVAV KTOS DFEN**	July 2026 NATO summit is a named, dated catalyst that will formally shift doctrine. DAWG budget explosion. U.S. drone names remain under-owned vs. European traditional defense.	Ukraine ceasefire dramatically reduces procurement urgency. FY2027 appropriations stall.
4	Nuclear Energy / SMR **CEG VST NLR**	Fundamental case is strong but SMR monetization timeline is 2028–2032. Uranium miner valuations already pricing in significant demand growth.	NRC timelines extend. Nuclear incident globally resets sentiment.
5	Longevity Biotech **LLY NVO RVTY**	Orforglipron FDA decision is a binary catalyst. Long-term market real. Pure-play longevity remains under-owned but largely private, reducing liquid expression quality.	GLP-1 adverse event study triggers FDA class review. Pricing compressed faster than market expands.



Theme scoring across four dimensions. Dashed ring = score of 4. Internal assessment — May 2026.

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04 —

CONTRARIAN / NON-CONSENSUS PICK

EMERGING MARKETS EQUITY — Broad Ex-China EM

Non-consensus driver: Macro-regime / Dollar weakness / Structural under-ownership

After 15 years of US equity dominance, emerging markets are structurally under-owned and undervalued. EM equities trade at a forward P/E of just 14x for 2026, vs. ~22x for the S&P; 500 — the widest gap in over a decade (Directional estimate: T. Rowe Price, Q1 2026). Global investors are still underweight EM, priced for continued US exceptionalism that is visibly ending.

Why it is absent from standard sell-side rotation lists: a structural dollar bull market persisted from 2011–2025, making EM a recurring false dawn. Managers who were burned in 2014, 2018, and 2022 remain skeptical. This is not a consensus view.

Why the thesis is real — three simultaneous drivers not present together before:

- **Dollar weakness is structural.** The US deficit trajectory, the Fed's constrained room to hike, and de-dollarization in commodity trade settlements are creating durable dollar headwinds.

HSBC economists explicitly cite dollar weakness as a 2026 EM tailwind (HSBC / FXStreet, May 2026).

• **Positioning asymmetry is exceptional.** US equities represent ~65% of global equity benchmarks. A 1% reallocation from US to EM translates to a proportionally large inflow into a smaller asset class (T. Rowe Price, 2026).

• **The EM opportunity set has broadened.** Beyond Taiwan semiconductors and Korean tech, EM now includes AI infrastructure beneficiaries, power and grid builders, defense manufacturers, and advanced manufacturing — the exact themes in this note, but at 14x P/E vs. 22x in the US.

CATALYST CLOCK: Any Fed rate cut or policy shift that accelerates dollar weakness is the primary trigger. USD/EM FX basket breaking below 2023 lows would signal the structural regime shift is confirmed.

BEST EXPRESSION: EEM · **VWO** · **EMXC** (ex-China EM) · **INDA** · **EWZ**

Best liquid expression: **EMXC** (iShares MSCI Emerging Markets ex China) — removes idiosyncratic China regulatory risk while capturing broad EM dollar-weakness and reallocation tailwind. **EWZ** (Brazil) and **INDA** (India) for single-country expression with specific catalysts.

> **BEAR CASE:** The trade fails if U.S. growth reaccelerates relative to EM (no “Great Rotation” materializes) and the dollar strengthens on safe-haven demand from geopolitical risk. China-specific regulatory events create negative contagion across EM benchmarks even for ex-China positions.

05 —

TRADEABLE EXPRESSION

Entry structure for top-ranked themes and contrarian pick.

DIMENSION	POWER GRID: ETN GEV PWR	HUMANOID ROBOTICS: TSLA ABB ARTY
Cleanest expression	Core longs: **ETN** + **GEV**. Picks-and-shovels: **PWR**. ETF: **ELFY** (0.40%) or **AIPO** (0.45%)	Single-name: **ABB** (most liquid). Portfolio: equal-weight **TSLA** + **ABB** + **ARTY**
Entry trigger	Q2 2026 utility earnings confirming data center contract wins. DOE interconnection queue showing backlog extending. Any hyperscaler citing power-access as an expansion constraint	Cost-per-unit announcement below $10K. Q2 2026 Amazon/BMW/Tesla confirming robot fleet ROI. Any M&A; in humanoid space repricing sector
Hedge / short leg	Short **GDDY** or **CLOUD** — SaaS companies exposed to AI commoditization with no power-demand link	Short legacy auto OEMs (**F**, **GM**) — exposed to humanoid labor substitution in manufacturing with slowest adoption response
Time horizon	18–24 months. The 49 GW shortfall is a multi-year construction problem	12–18 months pre-catalyst. Mass commercial adoption is a 2027–2030 event; 2026 is the position-building window

DIMENSION	POWER GRID: ETN GEV PWR	HUMANOID ROBOTICS: TSLA ABB ARTY
Sizing logic	5–7% pre-catalyst. Add to 9–10% post Q2 2026 utility earnings. Trim **ELFY**/**AIPO** first, hold single-names longer	3–5% at current levels. Add to 6–8% on first cost-threshold announcement. Size **TSLA** smallest due to CEO concentration risk

DIMENSION	EMERGING MARKETS: EMXC INDA EWZ
Cleanest expression	Core: **EMXC** (ex-China). Single-country: **INDA** (India AI + manufacturing) + **EWZ** (Brazil commodity leverage to dollar weakness)
Entry trigger	DXY (USD Index) sustained break below 100. Fed rate cut accompanied by EM central bank easing. EM fund flow data showing net inflows for 3+ consecutive months
Hedge / short leg	Dollar-long position (**UUP**) as macro hedge against dollar-strength scenario
Time horizon	24–36 months. Structural reallocation from US concentration is measured in years
Sizing logic	4–6% at current levels given early positioning. Add to 8–10% on DXY sustained break below 100

06 —

WHAT TO MONITOR

POWER GRID EARNINGS Q2 2026 results from **ETN**, **GEV**, **PWR**, **NEE** — look for data center revenue as a line item and backlog guidance for transformer/switchgear delivery timelines. Any pushout in delivery = demand confirmation; any demand cut = risk signal.

HUMANOID COST THRESHOLD Any manufacturer announcement of per-unit cost below $10,000. Tesla Optimus program update on Investor Day (watch for volume production targets for 2027). Amazon robot fleet utilization % in Q2 2026 earnings.

NATO ANKARA SUMMIT July 2026 — look for specific doctrine language formalizing “drones and AI over tanks.” Any quantified procurement commitment beyond current $70B figure. DAWG budget Congressional committee vote dates (H2 2026).

NUCLEAR PPA ANNOUNCEMENTS Any tech company (**MSFT**, **AMZN**, **GOOGL**) announcing a new nuclear power purchase agreement. **CEG** call — listen for pipeline commentary on PPAs under negotiation.

GLP-1 PIPELINE FDA PDUFA date for **LLY**’s orforglipron (confirm date when announced). Novo oral sema 26-week adherence data from real-world prescriptions — first real-world durability signal for the oral format.

EM DOLLAR SIGNAL DXY weekly close — sustained breach of 100 is the structural signal. EM equity fund flows (IIF data, monthly) — first three consecutive months of net inflows would confirm institutional reallocation has begun.

OUTGOING THEME CHECK Hyperscaler Q2 2026 earnings (July): if capex-to-revenue ratios compress OR if any hyperscaler cuts 2027 capex guidance, the AI infrastructure rotation accelerates. Watch **GOOGL** and **MSFT** calls specifically — they guide first.

TIME-SENSITIVE FLAGS & LOW-CONFIDENCE CAVEATS

- **DAWG BUDGET FIGURE (+24,000% INCREASE)** The $54.6B FY2027 request and the 24,000% increase figure are sourced from globalsecurity.org citing DefenseScoop (April 2026). Single source. Verify against official OMB FY2027 budget documents and Pentagon press releases before sizing autonomous defense positions on this figure.
- **HUMANOID UNIT COST ($10,000 THRESHOLD)** Sourced from Global X ETFs (2026). Single source. This is a production cost threshold for “many commercial applications” — not all use cases. Confirm with manufacturer-specific announcements before assuming broad commercial ROI has turned positive.
- **URANIUM MINER VALUATIONS (RICH)** Assessment that uranium miner pricing is elevated is a directional estimate based on Sprott commentary (“pricing can be rich for producers even on moderate demand growth,” Sprott ETFs, 2026). Actual current P/E data for **CCJ** and **URNM** vs. historical should be verified before reducing exposure.
- **EM FORWARD P/E (14x)** Directional estimate — sourced from T. Rowe Price institutional Q1 2026 commentary. Verify against current MSCI EM consensus estimates before using as a valuation anchor.
- **EUROPEAN DEFENSE CROWDING** Assessment based on Reuters/investing.com analysis citing a Citigroup note on trimmed positions and the **EUAD** –4% YTD vs. prior +75% peak. Confirm current Citigroup positioning data is not stale before using this as a reason to avoid European defense names.

All other claims in this note are confirmed with multi-source data as of May 2026.

Internal research note — not for distribution. All thematic views represent forward-looking estimates subject to material revision on catalyst events. May 2026.